MOSTA
ECO-46

Ch-01

@ What do you mean by the "Mode of Production"? Describe the role of Mode of Production at development process of a country? ①

Mode of Production: According to karl Marx and the Marxist theory of historical materialism, a mode of production is a specific combination of the productive forces which include human labour power and means of production. Everything that goes into the production of the necessities of life the social structures that regulate the relation between humans in the production of goods. A definite form of expressing their life, a definite mode of life on their part. As individuals express their life, so they are. What they are, therefore coincides with their production both with what they produce and how they produce.

The role of Mode of Production at development process of a country: The mode of production refers to the theory in which human history is divided into the five progressive stages of primitive society, slave society, feudal society, capitalist society, and socialist. The mode of production of material life conditions the social, political and intellectual life in general. Production relations which are a form of the development of productive forces, in turn actively influence productive forces, either accelerating or slowing their progress. Within the certain Mode of production an Economy gets turn into capitalism from feudalism. It may be considered as the more sophisticated mode of Transition process within which a nation gradually turns into capitalist crossing feudal and capitalist society. Lewis model represents that approach which clarifies the Rostow's stage growth development from traditional society to high much consumption level. Thus a country is engrossed in the changes of technology in increment of agricultural production in feudal or traditional society to turn into the long distance trade and development of urban centers. It turns the economy in the state of Capitalist industry which is turned toward creation of working class and declining manorial system with other factors the Economy gets turn into Capitalism. Earning capital accelerates and operates the running development and progressing from the feudal or traditional state and all these approaches come within the Mode of Production. Thus, the role of ~~of~~ Mode of production at development process of a country is inevitable and significant.

(b) What do you mean by "Transition of an Economy"?
or, What are the different meanings of transition in development perspective?

Transition of an Economy: Transition of an Economy is the state of an Economy wherein an Economy in changed from a centrally planned Economy to a Market Economy. Transition economies undergo a set of structural transformations intended to develop market-based institutions. The transition process is usually characterized by the changing and creating of institutions, particularly private enterprises; changes in the role of the state, thereby, the creation of fundamentally different governmental institutions and the promotion of private-owned enterprises, market and independent financial institutions. The main ingredients of the transition process are:

① Liberalization ② Macroeconomic Stabilization
③ Restructuring and Privatization ④ Legal and institutional reforms
⑤ Budget Constraints providing incentives to improve efficiency

Transition in development perspective seeks to widen participation by taking a multi-actor approach. Taking long-term perspective. Focused on learning the niche level. A system thinking approach which identifies that problems will span multiple domains, levels and actors.

© Discuss about the role of "Shock Therapy vs the Gradual Approach" to transition. (10)

"Shock Therapy (Big Bang) vs. the Gradual Approach" to transition: The transition debates centred generally around two main issues. The first concerns interrelationships among different specific dimensions of transition. The second concerns the pace of transition. These two issues in turn are related. The questions regarding interrelationships were obviously more important for systematic transition, which had more dimensions of transitions involved. An important question in this regard was whether political transition was a necessary pre-condition for or accompaniment of Economic transition. An important question in this regard was whether transition from public to private ownership of productive assets was a necessary pre-condition or accompaniment of transition from planning to market. If sequencing is possible, what is the right sequencing? There were many questions with regard to the pace of transition too. Are there objective determinants of the pace of transition or is it primarily a subjective question?

The broadly two different approaches to transition emerged. One of these came to be known as the Big Bang (or Shock Therapy) approach and the other is the gradual approach. These names suggest that the distinction between these two approaches concerns mainly the pace of transition. Actually, they often differ with regard to the interrelationships among different dimensions of transition too.

The issues of interrelationship and pace are connected. For example, the advocates of the Big Bang approach tend to suggest that the transition has to proceed along all the dimensions almost simultaneously. By contrast, the proponents of the Gradual approach not only argue for a slower pace but also tend to allow sequencing of the different dimensions of transition. Generally, the "area study" scholars were more in favour of the Gradual approach. By contrast, more ~~so~~ scholars from the economics background advocated the Big Bang approach.

The rationale of the Big Bang approach is not always fully explained. For example, in order to justify the approach, Jeffrey Sachs, one of prominent advocates of the Big Bang approach, uses the aphorism. "You can't cross a precipice in two jumps!" This is obviously simplistic and infact assumes what needs to be proved. Human societies are living organisms, so that comparing them with physical terrain is a false comparison. In the evolution of living organisms there is no precipice - the future state emerges from past state.

Other scholars provided some thoughts that may be construed as arguments for the Big Bang approach. For example, Kornai suggests that there is an affinity between market and private ownership, on the one hand, and between planning and public ownership, on the other. As a result, a switch from planning to market cannot be successful without a corresponding switch from public to private ownership.

If the transition proceeds slowly, those who are opposed to the transition can muster enough political opposition to thwart the transition process before it is complete and offers the anticipated positive results. This is a more potent argument for the Big Bang approach.

The arguments of the Gradual approach are easier to understand. As the Chinese saying goes, "Even a long journey has to begin with a short step! There is also the saying that "Nature does not jump!" More generally, just a building a system takes time, dismantling it also requires time. An important fact of note here is the novelty of the transition process, both systematic and stand-alone. "Learning by doing" has an important role in this process; and learning can only be gradual.

The above noted political argument for the Big-Bang approach can be reversed to serve as an argument for the Gradual approach. Proceeding slowly, and limiting initial changes to only those that are politically feasible, may help to develop the political constituency for the reforms and allow the transition process to continue forward.

A more economistic argument for the Gradual approach draws upon the capital theory. The existing capital stock can't be switched instantly from production of one kind of product to the production of another.

The debate between the Big Bang and the Gradual approach was very active during the early 1990s, when the direction of the reform in the east European countries ultimately adopted the Big Bang approach though not of the same variety. Different countries witnessed different degrees of privatization a transition from one-party rule to multi-party democracy.

Meanwhile, China and Vietnam followed the Gradual approach characterized by a slower pace and sequencing of different dimensions transition. Their initial focu was on letting the market function better, and issue of change from public to private ownership was taken up only later and in a restrained way. In fact private ownership in these countries developed more through creation of new assets, rather than from transfer of existing assets from public to private ownership. These countries also postponed the issue of political transition.

The experience of the last several decades didn't bear out the bold predictions regarding miraculous results of Big Bang approach. Some countries, such as Poland, are presented as success case of the Big Bang approach. However, many East European countries and former Soviet republics failed to see dramatic improvement in their economies and life. Even the most successful cases of Big Bang approach can not compare with the high economic growth rates and increase in material standard of living that China and Vietnam have achieved.

One would expect that the above real life experience had settled the "Big Bang vs Gradual approach" debate in favour of latter. That is however not the case. The advocates of the Big-Bang approach continue to advocate for their position, finding new arguments and citing new evidence.

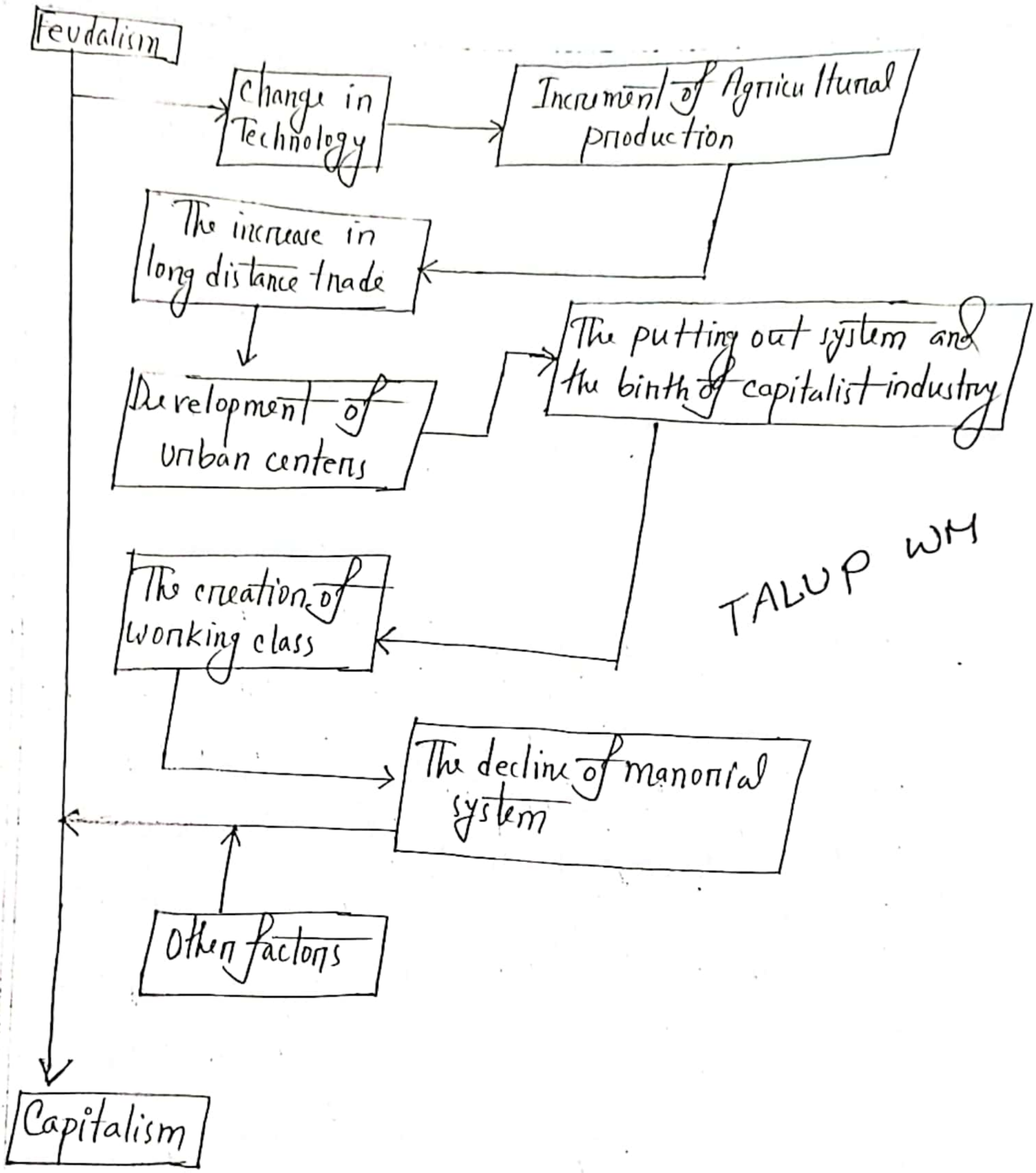
ⓒ Define "Capitalism". Analyze the transition process from feudalism to Capitalism according to the experience of Europe. (3+7)

Capitalism: Capitalism is a social mode of production based on private ownership of the means of production and the exploitation of wage workers. A capitalist society is expected to be industrial. Central characteristics of capitalism include capital accumulation, competitive markets, a price system, private property and the recognition of property rights, voluntary exchange and wage labour. The production of goods and services is based on supply and demand in the general market—known as market economy.

Transition process from feudalism to capitalism according to the experience of Europe: The economic base of feudal Europe was essentially agricultural. An increase in agricultural productivity formed the original impetus for a series of social changes that led to dissolution of feudalism and emergence of capitalism.

① Changes in Technology: The most important technological advance in the middle Ages was the replacement of the two-field system of crop rotation with the three-field system. With the new system, arable land was divided into three equal fields. Rye or winter wheat would be planted in the first part; oats, bean or peas would be planted in the spring in the second; and the third would lie fallow. In each subsequent year there was a rotation of these positions. Spring sowing of oats and other fodder crops enable people to support more horses which began to replace oxen as the principal source of power in agriculture and transportation. Horses were much faster than oxen. Consequently, the area under cultivation increased and in respect to development of transportation four wheeled wagon replaced the two wheeled cart. These improvements in agriculture and transportation resulted in a rapid increase in population growth and urban concentration. With rural workers engaged to soil and the urban workers increased the output of manufactured goods. This specialization formed the basis for long distance trade.

② The Increase in Long-Distance Trade: Many historians have argued that the spread of trade and commerce was the single most important force leading to the disintegration of the medieval society. The growth of agricultural productivity meant that a surplus of food and handicrafts was available for local and international markets. The improvement in power and transportation meant that it was possible and profitable to concentrate industry in towns, to produce on a mass scale, and to sell the goods over a widespread, long-distance market.



The expansion of trade led to the establishment of the commercial and industrial towns that serviced the trade.

But at first, long-distance trade was serviced through fairs of short period, which might be held by the side of river. Within the commercial centers, there arose the system of currency exchange, debt clearing and modern business instruments. Under this system an impersonal relationship developed between economic agents, whereas in the manorial handicraft industry the producer was also the seller.

③ The Putting out system and the Birth of Capitalist Industry: As trade and commerce thrived and expanded, the need for more manufactured goods and greater reliability to supply led to increasing control of the productive process by the merchant-capitalist. The craftsmen who ~~w~~ owned his workshop, tools and raw materials and functioned independently, had been replaced in the exporting industries by the putting-out system.

① Some craftsmen become master and wealthy and other craftsmen were deprived of means of production and become wage workers.

(ii) At first, merchant had played the role of middleman in exchange of commodities. Then they become buyer and buying the commodities produced and reselling them at more distant market for profits and also used to lend money and materials to craftsmen and required them to make specific item for a certain payments. As a result craftsmen finally become wage workers and the merchants become capitalist and industrialist.

(4) The Decline of the Manorial System: Before a complete system of capitalism could emerge, the forces of capitalist market relations had to Invade the rural manor and thus the agricultural base of the feudal society. Large urban populations depended on the rural country side for food and raw materials for industries. The lords of the manor began to depend on the cities for manufactured and luxury goods. This need fostered a rural-urban specialization. The peasants of the manor also found that they could exchange surpluses for money, and the money could be used

to purchase commutation of their labour services. This system gave peasants a higher incentives to produce, so they do so, which gradually breaking down the traditional ties of the manor.

Again, the lords who needed cash to exchange manufacture goods, began to rent their own lands to peasants farmers rather than have them farmed directly with labour service obligations. In this process, feudal lords become absentee land lord by moving themselves toward the towns. The hundred year's war between France and England was also a reason in breaking up the manorial system.

⑤ The Creation of the Working Class: The early 16th century is the watershed in European history. The most important changes was creating of a working class that was stripped of any control over the production process and forced into a situation in which the sale of its labour power was its only means of survival. This was instigated by feudal nobility by enclosing lands that had formerly been used for communal grazing, using the lands to graze sheep to satisfy the booming English wool and textile industries. The enclosures and the increasing population further destroyed the remaining feudal ties, creating a new labour force—a labour without land, tool and any means of production other than the labour power to sell.

Again as a result of depression, many workers were uprooted and they become vagabonds and beggars.

⑥ Other Factors: Among other factors, the intellectual awakening of the 16th century popularly known as the "Renaissance" in history fostered scientific progress that was promptly put to practical use in navigation. The invention of telescope and compass helped a lot in discovering sea-roots to India, Africa and the Americas. This resulted in a rapid and large flow of precious metals into Europe, and ushered in a period of colonization. In colonized territories capitalist penetration involved -

1. Expression of Monetary Economy
2. Export of products to colonies
3. Export of capital from colonies to industrial capitalism

"The history of Political economy cannot be the same for all countries and all historical epoches."

—— Karl Marx

(Communist Manifesto, 1848).

Q) What are the different meanings of transition in development perspective?

Different meanings of transition in development perspective: The term transition has been used in the literature in many different ways. It is therefore useful to be familiar with them in order to follow the discussion of this volume. This following provides a brief, partial survey.

① Transition from one social formation to another - Systematic transition: In the grand Hegelian-Marxian scheme, societies evolve through stages and thus experience transition from one social stage to another. The most succinct formulation of this conception of transition can be found in Marx, where it is postulated that human societies have crossed "Asiatique," "Antique", "feudal", and "modern bourgeois" stages and is slated for a future "communist" stage. This is obviously a sweeping concept of transition encompassing changes in all spheres, including economy, politics, ideology, and culture. This kind of transition may be called Systematic transition.

(ii) Transition from Agriculture to Industry: "The economy from Agriculture to Industry" term was associated with the concept of "structural transformation" that focused on the changes in the composition of the Gross Domestic Product (GDP). In the Marxian scheme above the transition from Agriculture to Industry is generally thought to be a part of the transition from feudalism to capitalism.

(iii) Transition from planning to market: The term transition has often been used to refer to the switch from central planning to market. This coordination of economic activities of the country as a whole arose first in the USSR. Today's large and complex economies can't be coordinated effectively without allowing market an appropriate role. Thus, a switch from central planning to market Mechanism has been the common feature of transition across almost all 'socialist' countries.

(iv) Transition from public to private ownership of productive assets: The term 'transition' has also been used in recent years to refer to the switch from public to private ownership of productive assets. While there is a broad consensus about the necessity of a transition from total planning to market, the question whether this switch has to be accompanied by a transition from public to private ownership of productive assets remains controversial.

(v) Transition from one party to multi-party system: Yet, another way in which the term transition has been used in the recent period is to refer to the change from one-party political systems to multi-party systems. From the theory of the "dictatorship of the proletariat" the USSR gravitated to a one-party based political system. Similar one-party political systems were adopted by other countries of socialism too, in both Europe and Asia.

(vi) Transition from "socialism" to capitalism: The combination of transitions from planning to market, public to private ownership, and one-party to multi-party system is often referred to as the transition from "socialism to capitalism". From this perspective, the former are particular dimensions of the latter general "systematic" transition. The direction of this transition is opposite to what was postulated by the Marxian scheme.

"Systematic" and "stand-alone" economic transition: The experience therefore shows that economic transition can take place in two ways. The first is as a part of the "systematic" transition, and the second is as a "stand-alone" process. While the former republics of the USSR and East European countries provide examples of the first, China and Vietnam offer examples of the second. There is therefore a sharp contrast between the economic transition process witnessed by these two groups of countries.

(f) Distinguish between the transition from feudalism to capitalism and from capitalism to socialism through nation's experience. (4)

Distinguish between the transition from feudalism to Capitalism and from Capitalism to Socialism: To make particular difference between the transition from feudalism to Capitalism and from capitalism to socialism we may think about the nation's experience in the both perspective of transition. Firstly, we will consider the form of transition from feudalism to capitalism and then we will go for transition from Capitalism to socialism through nation's historical experience.

The economic base of feudal Europe was essentially agricultural. Agriculture also formed the social hierarchy. An increase in agricultural productivity formed the original impetus for a series of social changes that led to dissolution of feudalism and emergence of capitalism. And we know, Capitalism is a social mode of production based on private ownership of the means of production and the exploitation of wage workers. A capitalist society is expected to be industrial.

Now, we will show the transitional experience from feudalism to capitalism in western Europe.

That transition had been occured through various procedures where first evolution came from changes in technology in the agriculture where it came of the replacement of the two field system of crop rotation with the three field system. Oats and other fodder crops supported more horses which began to replace oxen as the principal source of power in agriculture and transportation which resulted rural-urban specialization and that specialization formed the basis for long-distance trade.

The increase in long-distance trade represents that many historians have argued the spread of trade and commerce was the single most important force leading to the disintegration of the medieval society. The growth of agricultural productivity meant that a surplus of food and handicrafts was available for local and international markets. The expansion of trade led to the establishment of commercial and industrial towns. Within the commercial centers, there arose the system of currency exchange, debt clearing and modern business instruments.

The putting out system and the birth of capitalist industry showed as trade and commerce thrived and expanded. The need for more manufactured goods and greater reliability to supply led to increasing control of the productive process by the merchant-capitalist.
(i) Some craftsmen become master and wealthy and other craftsmen were deprived of means of production and become wage workers.
(ii) At first, merchant had played the role of middleman in exchange of commodities and they become buyer and buying the commodities. As a result craftsmen finally become wage workers and the merchants become capitalist and industrialist.

The decline of the manorial system shows the forces of capitalist market relation had to invade the rural manor and agricultural base of the feudal society. The peasants could exchange surpluses for money and money could be used to purchase commutation of their labour services which gave higher incentive to produce. The lords who needed cash to exchange manufactured goods, began to rent their own lands to peasants farmers and feudal lords became absentee land lord. Another reason for breaking up manorial

system the Hundred year's war between France and England.
The creation of the working class is a watershed in European history. The enclosures and the increasing population further destroyed the remaing feudal ties, creating a new labour force. Again as a result of depression, many workers were uprooted and they become vagabonds and beggars. And among the other factors the intellectual awakening the 16th century popularly known as the "Renaissance" in history. ~~fot~~ fostered scientific progress that was promptly put to practical use in navigation. In colonized territories capitalist penetration involved — (i) Expression of moneytary economy (ii) Export of products to colonies (iii) Export of capital from colonies to industrial capitalism. France, Spain. Germany ~~experienced~~ and many other western European countries experienced the transition from feudalim to capitalism.

And the transition from capitalism to Socialism was the ~~altered~~ opposite like tranition of feudalism to Capitalism. The transition from capitalism to socialism requires in all cases the overthrow of the old power, the power of the exploiters and the establishment of the power of the people led by the working class. But the forms by which the revolution develops and the bourgeois power is overthrown can and do differ completely.

Karl Marx's analysis of the internal dynamics of Capitalist society led him to conclude that this order would be replaced by socialism. Through the extension of universal suffrage and the expansion of the welfare state, the working class in the west has been politically and economically integrated to play a major role in capitalist society.

Development of the working-class organization is the key to the transition to socialism.

Besides the development of working class there are also two central changes in the structure of capitalist society —

(i) The development of democracy and

(ii) The development of the welfare state

These two were largely due to the growing strength of organised labour.

The western european countries transformed from the feudal toward capitalist countries. Nowadays, Hong kong, Singapore, New Zealand, Switzerland, Australia, Canada, United kingdom are the example of capitalist countries. And, the development of the democracy and development of the welfare are turning them toward socialism. China, Cuba and Vietnam are the example of socialist countries where working class organizations development stimulated the development of the democracy and welfare which turn into the socialism from capitalism.

According to Karl Marx for any society to reach into Socialism is the ultimate goal of (i) What to produce (ii) How to produce (iii) For whom to produce (iv) What is left for future generation

The basis of socialism is public goods whereas private Goods is the basis of capitalism. Government will take decision which Good (private or public) they will produce. But production processing criteria is on private industries or private sectors — What to produce.

How to produce — How can we differentiate the capitalism and Socialism in factors of production. Labour demand and supply and related other factors of production. Market oriented wage. And distribution of capital's amount is decided by the Government.

For whom to produce — It is decided before by Government that for whom to produce. According to this process production is occurred.

Revolution is needed for political reformation which will change the social structure according to Marx. But society needs economic reformation and restructured appearance. In Germany, Russia people are not happy with socialism as there was not Equal distribution society.

Q What do you mean by Use value and exchange value? Describe the importance of trade and manorial system as the transition process from feudalism to capitalism.

Value is the monetary, material, or assessed worth of an asset, good, or service." Value" is attached to a myriad of concepts including shareholder value, the value of a firm, fair value, and market value. Some of the terms are well-known business jargon, and some are formal terms for accounting and auditing standards of reporting to the securities and exchange commission.

Used Value: After consumption how much utility can be achieved to express it in number values is called used values. According to Marx and Classical Use value refers to the tangible features of a commodity which can satisfy some human requirements, wants or needs or which serves as useful purpose. Deadweight loss can be reduced by using Used Value criteria.

Exchange Value: How much other commodity can be exchanged with the first asset is considered as the Exchange Value. In political economy and especially Marxian economics, exchange value refers to one of four major attributes of a commodity. i.e an item or service produced for, and sold on the market. In our practical we use Exchange value as well.

The importance of trade and manorial system as the transition process from feudalism to Capitalism: We know, the economic base of feudal Europe was essentially Agricultural. Agriculture also formed the social hierarchy. An increase in agricultural productivity formed the original impetus for a series of social changes that led to dissolution of feudalism and emergence of capitalism.

The technological improvement in Agriculture and transportation resulted in a rapid increase in population growth and urban concentration which resulted rural-urban specialization. This specialization formed the basis for long distance trade.

The spread of trade and commerce was the single most important force leading to the disintegration of the medieval society. The growth of agricultural productivity meant that a surplus of food and handicrafts was available for local and for the international markets. The improvement in power and transportation meant that it was possible and profitable to concentrate industry in towns, to produce on a mass scale, and to sell the goods over a widespread, long-distance trade-market. From the earliest part of the medieval periods, some long-distance trade had been carried on through many parts of Europe and with the Arabs in south and Vikings in the north.

The expansion of trade led to the establishment of commercial and industrial towns that serviced the trade. But at first long-distance trade was serviced through fairs of short-period, which might be held by the side of river. Thriving of the market and gaining freedom of the commercial centers from feudal customs and tradition, independence from the Church and feudal lords there arose the system of currency exchange, debt clearing, and modern business instruments.

The putting out system and the birth of Capitalist Industry was happened in two ways — (i) Some craftsmen become master and wealthy and other craftsmen were deprived of means of production and become wage workers. (ii) At first, merchant had played the role of middleman in exchange of commodities. Buying the commodities produced and reselling them at more distant market for profits, used to lend money and materials to craftsmen to make specific item. As a result craftsmen finally become wage workers and the merchants become capitalist and industrialist.

The decline of the manorial system represents a complete system of capitalism could emerge, the forces of capitalist market relations had to invade the rural manor and thus the agricultural base of the feudal society. Large urban populations depended on the rural country side for food and raw materials for industries. This need fostered a rural-urban specialization. The lords of the manor began to depend on the cities for manufactured and luxury goods.

The peasants of the manor also found that they could exchange surpluses for money, and the money could be used to purchase commutation of their labour services. This system gave peasants a higher incentive to produce, so they do, which gradually breaking down the traditional ties of the manor. Again, the lords who needed cash to exchange manufactured goods, began to rent their own lands to peasants farmers. In this process, feudal lords become absentee land lord by moving themselves toward the towns. The Hundred year's war between France and England was another reason for breaking down manorial system.

Thus, it can be said that for the transition process from feudalism to capitalism the trade and breaking of the manorial system through trade played most important role. The importance of these two were mostly significant for transition.

Ch-02

@ Do you recognize USA as a free market Economy? Explain your answer. Write down the causes and effects of Civil wars called "Wars between the States" lasted from 1861 to 1865 at USA. (3+7)

Is USA a free market Economy?: Firstly, we will define what is considered as a free market Economy. The free market Economy is an economic system based on supply and demand with little or no Government control. Free market economy is one where supply and demand regulate production and labor as opposed to the Government. Free markets are characterized by a spontaneous and decentralized order of arrangements through which individuals make economic decisions.

Thus, with all considerations and perspectives USA can be considered as a free market Economy. As we know free market refers to an economy where the Government imposes few or no restrictions and regulations on buyers and sellers.

In a free market, participants determine what products are produced, how, when and where they are made, to whom they are offered, and at what price — all based on supply and demand. A purely capitalist economy is a free market economy; the profit motive drives all commerce and forces businesses to operate as efficiently as possible to avoid losing market share to competitors. While the U.S. allows companies to set prices, and workers negotiate wages, the Government establishes parameters, such as minimum wages and antitrust laws that must be followed.

A purely free market does not exist because all countries choose to impose some level of central decision and regulations. In western democracies, Governments that are elected by citizens pass regulations. Therefore, these regulations protect a majority of citizens, and reflect their values. These markets feel free to most of the citizens, even when they are highly regulated. Hongkong, Singapore, Australia and United States are most economically free market in the world where Singapore ranks as 85.7 ~~89.3~~% economically free ~~Singa~~. Hongkong ranks 89.3% economically free, Australia ranks as 82.7% free and the U.S. ranks as 82% economically free the world's most advanced financial market.

Causes and effects of civil wars called " wars between the states" lasted from 1861 to 1865 in USA: The US civil war lasted from 1861 to 1865 and led to over 618,000 causalties. Its causes can be traced back to tensions that formed early in the nation's history. Following are the top five causes that led to the "war between the states".

ⓐ Economic and Social differences between the North and the South: With Eli Whitney's invention of the cotton gin in 1793, cotton became very profitable. This machine was able to reduce the time it took to separate seeds from the cotton.

At the same time the increase in the number of plantations willing to move from other crops to cotton meant the greater need for a large amount of cheap labour, i.e, slaves. ~~Three force.~~ Thus, the southern economy became a one crop economy, depending on cotton and therefore on slavery. On the other hand, the northern economy was based more on industry than agriculture. This change in the north meant that society evolved as people of different cultures and classes had to work together. On the other hand, the south continued to hold onto an antiquated social order.

ⓑ States versus federal rights: Since the time of the Revolution, two camps emerged: those arguing for greater states rights and those arguing that the federal government needed to have more control. The first organized Government in the US after the

American revolution was under the Articles of Confederation. The thirteen states formed a loose confederation with a very weak federal Government.

However, when problems arose, the weakness of the Articles caused the leaders of the time to come together at the Constitutional Convention and create, in secret, the U.S. Constitution. Strong proponents of states rights like Thomas Jefferson and Patrick Henry were not present at this meeting. Many felt that the new constitution ignored the rights of states to continue to act independently. They ~~have~~ felt that the states should still have the right to decide if they were willing to accept certain federal acts and to rule federal acts unconstitutional.

The federal Government denied states this right. However, proponents such as, John C. Calhoun fought vehemently for nullification. When nullification would not work and states felt that they were no longer respected they moved toward

© The fight between Slave and Non-Slave State proponents:
As America began to expand, first with the lands gained from the Louisian Purchase and later with the Mexican War,

the question of whether new states admitted to the union would be slave or free. The Missouri Compromise passed in 1820 made a rule that prohibited slavery in states from the former Louisiana Purchase. During the Mexican war, conflict started about what would happen with the new territories that the U.S. expected to gain upon victory. David Wilmot proposed the Wilmot proviso in 1846 which would ban slavery in the new lands. However, this was shot down to much debate. The Compromise of 1850 was created by Henry Clay and others to deal with the balance between slave and free states; northern and southern interests. One of the provisions was the fugitive slave act, another issue that further increased tensions was the Kansas-Nebraska act of 1854. The pro-slavery Missourians began to pour into the state to help force it to be slave. They were called "Border Ruffians". Problems came to a head in violence at Lawrence, Kansas. The fighting that occured caused it to be called "Bleeding Kansas."

(d) Growth of the Abolition Movement: Increasingly, the northerners became more polarized against slavery. Sympathies began to grow for abolitionists and against slavery and slaveholders. This occured especially after some major events including: the publishing of Harriet Beecher Stowe's Uncle the question of whether new states admitted to the union would be slave or free. The Missouri Compromise passed in 1820 made a rule that prohibited slavery in states from the former Louisiana Purchase. During the Mexican war, conflict started about what would happen with the new territories that the U.S. expected to gain upon victory. David Wilmot proposed the Wilmot proviso in 1846 which would ban slavery in the new lands. However, this was shot down to much debate. The Compromise of 1850 was created by Henry Clay and others to deal with the balance between slave and free states, northern and southern interests. One of the provisions was the fugitive slave act, another issue that further increased tensions was the Kansas-Nebraska act of 1854. The pro-slavery Missourians began to pour into the state to help force it to be slave. They were called "Border Ruffians". Problems came to a head in violence at Lawrence, Kansas. The fighting that occurred caused it to be called "Bleeding Kansas."

ⓓ Growth of the Abolition Movement: Increasingly, the northerners became more polarized against slavery. Sympathies began to grow for abolitionists and against slavery and slaveholders. This occurred especially after some major events including: the publishing of Harriet Beecher Stowe's Uncle

Tom's Cabin, the Dred Scott Case, John Brown's Raid, and the passage of the fugitive slave act that held individuals responsible for harboring fugitive slaves even if they were located in non-slave states

(e) The election of Abraham Lincoln: Even though things were already coming to a head, when Lincoln was elected in 1860, South Carolina issued its "Declaration of the Causes of Secession." They believed that Lincoln was anti-slavery and in favour of Nortern Interests. Before, Lincoln was even president, seven states had seceded from the Union: South Carolina, Mississipi, Florida, Alabama, Georgia, Louisian and Texas.

Thus, if we point out the causes of civil war it may be pointed as — (1) Missouri Compromise (2) Nat Turner Rebellion (3) Wilmot Proviso (4) The Slavery Issue (5) Harriet Tubman and the underground Railroad (6) Compromise of 1850/Fugitive Slave Law (7) Kansas Nebraska Act (8) Ostend Manifesto (9) Dred Scott Decision (10) John Brown Rebellion (11) Election of Abraham Lincoln (12) Secession

Effects of the Civil War: The Civil war was one of the most tragic wars in American history. More Americans died than in all other wars combined. Bor Brother fought against brother and the nation was torn apart. In the end we must look at the important consequences of the conflict. There may be others, but this ~~a~~ is a good list to work off.

ⓐ The nation was reunited and the southern states were not allowed to secede.

ⓑ The south was placed under military rule and divided into military districts. Southern states then had to apply for readmission to the Union.

ⓒ The federal Government proved itself supreme over the states. Essentially this was a war over states rights and federalism and the victor was the power of the national Government.

ⓓ Slavery was effectively ended. While Slavery was not offi-cially outlawed until the passage of the 13th amendment, the slaves were set free upon the end of the war.

ⓔ Reconstruction, the plan to rebuild America after the war, began:

ⓕ Industrialism began as a result of the increase in wartime production and the development of new technologies.

Emancipation Proclamation: On January 1, 1863, president Lincoln declared all slaves in "enemy territory" liberated. of course, those who owned slaves, in "enemy" territory ignored the order and slaves in border states were not included.

The Division of Virginia: In 1863, citizens in the Western portions of Virginia, who opposed secession, petitioned the U.S. Government for statehood. West Virginia became the 35th state on June 20th, 1863.

Death in the Civil War: The Civil War was by far the deadliest war in American history. Well over, 600.000 people died in combat, from disease, or as a result of the Civil War.

Reconstruction: The period of time after the Civil War is known as Reconstruction. During this difficult era, the Southern states were gradually admitted back into the Union and the areas destroyed during the war were rebuilt.

Scalawags and Carpetbaggers: The ruined south presented a wide range of economic and political opportunities for ambitious Northerners and Southerners. Scalawags and Carpetbaggers were slang terms used to describe such opportunities.

<u>Jim Crow Laws:</u> The result of the Civil War left many in the South baitter toward the integration of African Americans into society. Jim Crow Laws were those meant to punish and ostracize African-Americans in a "legal" manner.

(b) (i) What are the different general theoretical reasoning of great depression in the USA at 1929? Briefly explain. (4)

(ii) What are the causes of great depression in 1929 according to various economic schools of thought? Explain these briefly.

(i) <u>Answer:</u> The causes of the Great Depression in the early 20th century have been extensively discussed by economists and remain a matter of active debate. There was an initial ~~market~~ stock market crash that triggered a "panic sell-off" of assets. This was followed by a deflation in asset and commodity prices, dramatic drops in demand and credit, disruption of trade, a widespread unemployment and imporverishment.

The first are the demand driven theories, from keynesian and institutional economists who argue that the depression was caused by a widespread loss of confidence that led to underconsumption and reduction in investment spending.

Second, there are the monetarists, who believe that the Great Depression started as an ordinary recession.

Thus, there are the two classical competing theoretical reasoning on theories of Great Depression are—

(i) Keynesian (demand-driven) explanation

(ii) The Monetarist Explanation

Although there are various heterodox theories but these two are the general theoretical explanation of Great Depression.

<u>Keynesian Explanation:</u> In his book "The General theory of Employment, Interest and Money (1936), John Maynard keynes introduced the concept that were intended to help explain the Great Depression. The keynesian explanation is that a fall in autonomous spending, particularly investment, is the primary explanation of Great Depression. Because businesses make investments based on expectations of profit. Therefore, if a fall in consumption appears to be long-term, business analyzing trends will lower expectations of future sales. Therefore, production will decrease which in

turn increase unemployment and reduces income and gradually the economy stuck into Depression which gradually turns the economy toward Great Depression.

Monetarist Interpretation: Milton Friedman and Anna Schwartz laid out a different explanation of the Great Depression. In their view, Great Depression was caused by the fall of the money supply. They write: "From the cyclical Peak in August 1929 to a cyclical trough in March 1933, the stock of money fell by over a third." The results was what Friedman calls the "Great Contraction" — a period of falling income, prices, and employment caused by the choking effects of a restricted money supply. People wanted to hold more money than Federal Reserve was supplying and people hoarded money by consuming less. This caused a contraction in employment and production since prices were not flexible enough to immediately fall.

(ii) Answer: The causes of the Great Depression in the early 20th century have been extensively discussed by economists and remain a matter of active debate. There was an initial stock market crash that triggered a "panic sell-off" of assets. This was followed by a deflation in asset and commodity prices, dramatic drops in demand and credit and disruption of trade, resulting in wide-spread unemployment and impoverishment.

According to the current mainstream theories which may be broadly classified into two main points of view. The first are the demand driven theories, from keynesian and institutional economists who argue that the depression was caused by a widespread loss of confidence that led to underconsumption. Second, there are the monetarists, who believe that the Great Depression started as an ordinary recession. There are also several various heterodox theories that reject the explanations of the keynesians and Monetarists.

Among the general theoretical reasoning ~~the two classical comp-~~ there are mainly ——

(i) Mainstream theories — (a) keynesian (b) Monetarist

(ii) Additional Modern nonmonetary explanations

ⓐ Debt deflation ⓑ Expectations hypothesis

(III) Heterodox theories — ⓐ Austrian School

(IV) Marxian: Specific theories of cause

(V) Role of Economic Policy

General theoretical reasoning: Among the General theoretical reasoning the mainstream theories comprise—

ⓐ Keynesian (demand-driven) Explanation: In his book "The General Theory of Employment, Interest and Money (1936), John Maynard Keynes introduced the concept that were intended to help explain the Great Depression. The keynesian explanation is that a fall in autonomous spending, particularly investment, is the primary expectation of Great Depression. Because businesses make investments based on expectations of profit. Therefore, if a fall in consumption appears to be long-term, business analyzing trends will lower expectations of future sales. Therefore, production will decrease which in turn increase unemployment and reduces income and gradually the economy stuck into depression.

ⓑ <u>Monetarist Interpretation:</u> Milton Friedman and Anna Schwartz laid out a different explanation of the Great Depression. In their view, Great Depression was caused by the fall of the money supply. They write: "From the Cyclical Peak in August 1929 to a cyclical trough in March 1933, the stock of money fell by over a third." The results was what Friedman calls the "Great Contraction" — a period of falling income, prices, and employment caused by the choking effects of a restricted money supply.

<u>Additional Modern nonmonetary explanations:</u> The monetary explanation has two weakness. First it is not able to explain why the demand for money was falling more rapidly than the supply during the initial downturn in 1930–31. Second, it is not able to explain why in March 1933 a recovery took place although short term interest rates remained close to zero and the money supply was still falling. This comprises —

ⓐ <u>Debt deflation:</u> Total debt to GDP levels in the U.S. reached a high of just under 300% by the time of the

Depression. Furthermore, Jerome says that the volume of new capital issues increased at a 7.7% compounded annual rate from 1922-29 at a time when the Standard Statistics Co's index of 60 high grade bonds yielded from 4.98% in 1923 to 4.47% in 1927.

Irving Fisher argued the predominant factor leading to the Great Depression was over-indebtedness and deflation. He outlined nine factors interacting with one another under conditions of debt and deflation to create the machines of boom to bust:

- Debt liquidation and distress selling
- Contraction of the money supply as bank loans are paid off
- A fall in the level of asset prices
- A still greater fall in the net worths of business, precipitating ~~bran~~ bankruptcies.
- A fall in profits
- A reduction in output, in trade and in unemployment.
- Pessimism and loss of confidence
- Hoarding of money
- A fall in nominal interest rates and a rise in deflation adjusted interest rates.

The liquidation of debt could not keep up with the fall of prices it caused.

⑥ Expectations Hypothesis: Expectations have been a central element of macroeconomic models since the economic mainstream accepted the new neoclassical synthesis. This thesis is based on the observation that after years of deflation and a very severe recession, important economic indicators turned positive in March 1933, just as Franklin D. Roosevelt took office. Money supply was still falling and short-term interest rates remained close to zero. Roosevelt's fiscal and monetary policy regime helped to turn expectation of higher future income and higher future inflation stimulated demand and investments. The recession of 1937-38, which slowed down economic recovery from the great depression, is explained by fears of the population that the moderate tightening of the monetary and fiscal policy in 1937 would be first steps to a restoration of the pre March 1933 policy regime.

Heterodox Theories:

Austrian School – Austrian economists argue that the Great Depression was the inevitable outcome of the monetary policies of the Federal Reserve during the 1920s. In their opinion, the central bank's policy was an "easy credit policy" which led to an unsustainable credit-driven boom. In Austrian view, the inflation of the money supply during this period led to an unsustainable boom in both asset prices (stock and bonds) and capital Goods. Austrians argue that Government intervention after the crash of 1929 delayed the market's adjustment and made the road to complete recovery more difficult.

Marxian: Specific Theories of Cause

ⓐ Non-debt deflation: In addition to the debt deflation there was a component of productivity deflation that had been occurring since The Great Deflation of the last quarter of the 19th century.

ⓑ Productivity or technology shock: In the first three decades of the 20th century productivity and economic output surged due in part to electrification, mass production and the increasing motorization of transportation and farm machinery, which permanently lowered the demand for labor relative to economic output.

ⓒ Disparities in wealth and Income: According to this view most of the benefits of the increased productivity went into profits, which went into the stock market bubble rather than into consumer purchases. Thus workers didn't have enough income to absorb the large amount of capacity that had been added.

According to this view, the root cause of the Great Depression was a Global overinvestment while the level of wages and earnings from independent businesses fell short of creating enough purchasing power.

(d) Gold Standard System: According to the Gold standard theory of the depression, the Depression was largely caused by the decision of most western nations after World War I to return to the Gold standard at the pre-war Gold price.

(e) Financial Institution Structures: The bank failures were occurred mostly in rural America. Structural weakness in the rural economy made local banks highly vulnerable. Farmers, already deeply in debt saw farm prices plummet in the late 1920's and their implicit real interest rates on loans skyrocket.

(f) Protectionism: Protectionism, such as the American Smoot-Hawley Tariff Act, is often indicated as a cause of the Great Depression, with countries enacting protectionist policies yielding a beggar thy neighbor result. This act was especially harmful to agriculture because it caused farmers to default on their loans.

(g) International debt structure: When the war came to an end in 1918, all European nations that had been allied with the U.S. owed large sums of money to American banks, sums much too large to be repaid out of their shattered treasuries. This is one reason why the Allies had insisted on reparation payments from Germany and Austria-Hungary. Reparations, they believed, would provide them with a way to pay off their own debts. However, Germany and Austria-Hungary were themselves in deep economic trouble after the war; they were no more able to pay the reparations than the Allies to pay their debts.

(h) Population Dynamics: In 1939, prominent economist Alvin Hansen discussed the decline in Population growth in relation to the Depression. Decline in Population growth rate may have caused a decline in "the natural rate of growth" which was significant enough to cause a serious depression.

Role of Economic Policy:

(a) Calvin Coolidge (1923-29): Workers didn't participate sufficiently in the prosperity of the Roaring twenties.

(b) Leave-it-alone liquidationism: During a depression the Central Bank should pour liquidity into the Banking system and the Government should cut taxes and accelerate spending in order to keep the nominal money stock and total nominal demand from collapsing.

(c) ~~Criticism~~: Herbert Hoover (1929-33): Government should do more than his immediate predecessors believed.

(i) Federal spending: Hoover held the line against powerful political forces that sought to increase government spending after the depression.

(ii) Tax Policy: In 1929 the Hoover administration responded to the economic crises by temporarily lowering income tax rates and corporate tax rate. At the beginning of 1931, tax returns showed a tremendous decline in income due to the economic downturn.

(d) Franklin D. Roosevelt (1933-45): Roosevelt enacted a series of programs, including social security, Banking reform and suspension of the Gold standard.

(i) Arguments for key to recovery: The economy and the key to recovery and to end the Great Depression was brought about by a successful management of public expectations. Roosevelt's fiscal and monetary policy regime change helped to make his policy objectives credible.

(ii) Arguments for prolongation of the Great Depression: In the new classical macroeconomics view of the Great Depression large negative shocks caused the 1929-33 downturn - including monetary shocks, productivity shocks, and banking shocks - but those developments become positive after 1933 due to monetary and banking reform policies. The main culprits for the prolonged depression were labour frictions and productivity. Financial frictions are unlikely to have caused the prolonged slump.

(c) "New Deal Programs enacted by President Roosevelt in the USA between 1933 and 1938 were in response to the Great Depression and focused on what historians refer to as the "3Rs" – Do you agree? Briefly explain your argument. (10)

The New Deal was a series of programs, public work projects, financial reforms and regulations enacted in the United States 1933-35, in response to the Great Depression. Some of these federal Programs included the Civilian Conservation Corps (CCC), the Civil Works Administration (CWA), the Farm security Administration (FSA), the National Industrial Recovery Act of 1933 (NIRA) and the Social Security Administration (SSA). These programs included support for farmers, the unemployed, youth and the elderly.

The Programs focused on what historians refer to as the "3Rs": relief for the unemployed and poor, recovery of the economy back to normal levels and reform of the financial system to prevent a repeat depression. Thus "New Deal Programs enacted by President Roosevelt in the USA between 1933 and 1938 were in response to the Great Depression and focused on what historians refer to as the "3Rs" – I am agree with that argument.

Economic Collapse (1929-33) and Roosevelt's Campaign: Decreasing of the manufacturing output and increasing of the unemployment were the consequences of the Economic Collapse in 1929-33. Before the New Deal, there was no insurance on deposits at banks. The depression had devastated the nation. Roosevelt's taking the oath of office, all state Governors had authorized bank holidays on restricted withdrawals. President Roosevelt promised "a new deal for the American People", saying:

"Throughout the nation men and women, forgotten in the political philosophy of the Government, look to us here for guidance and for more equitable opportunity to share in the distribution of national wealth. I pledge myself to a new deal for the American people. This is more than a political campaign. It is a call to arms.

First New Deal 1933-1934: Roosevelt entered office without a specific set of plans for dealing with the Great Depression—so he improved as Congress listened to a very wide variety of voices. Among Roosevelt's more famous advisers was an informal "Brain Trust", a group that tended to view pragmatic Government intervention in the economy positively. His secretary's priorities were "a forty hour workweek, a minimum wage, worker's compensation, unemployment compensation, a federal law banning child labour, direct federal aid for unemployment relief, Social Security, a revitalized public employment service and health insurance. The "first New Deal" (1933-1934) encompassed the proposals offered by a wide spectrum of groups. Advisers and many New Dealers argued that "bigness (referring, presumably, to corporations) was a negative economic force, producing waste and inefficiency."

@ The first 100 Days (1933): The American people were generally extremely dissatisfied with the crumbling economy, mass unemployment, declining wages and profits and especially Herbert Hoover's policies such as the Smoot-Hawley Tariff Act and the Revenue Act of 1932. Roosevelt entered office with enormous political capital. Roosevelt initiated a remarkable series of new programs in the "first hundred days" of the Administration, in which he met with Congress for 100 days.

The Economy had hit bottom in March 1933 and then started to expand. Economic indicators show the economy reached nadir in the first days of March, then began a steady, sharp upward recovery. Federal Reserve Index turned just 52.8 to 54.3 in March from July 1932. By July 1933 it reached to 85.5, a dramatic rebound of 57% in four months. Recovery was steady and strong untill 1937. The recession of 1937 was a temporary downturn and on that time there was a need for 938,000 more jobs.

ⓑ Fiscal Policy: The Economy Act of 1933 proposed to balance the "regular" (non-emergency) federal budget by cutting the salaries of Government employees and cutting pensions to veterans by fifteen percent. Roosevelt's concentration was about two budgets - the "regular" federal budget and the emergency budget which was needed to defeat the depression. President Douglas rejected the distinction between regular and emergency budget. New Dealers never accepted the keynesian argument for Government spending as a vehicle for recovery.

ⓒ Banking Reform: At the beginning of the Great Depression, the economy was destabilized by bank failures followed by credit crunches. The initial reasons were substantial losses in investment banking, followed by bank runs. Bank runs occured when a large number of customers withdrew their deposits because they believed the bank might become insolvent. As credit and economic activity diminished, price deflation followed, causing further economic contraction with disastrous impact on banks. Between 1929 and 1933, 40% of all banks failed. Much of the

Great Depression's economic damage was caused directly by bank runs.

(d) Monetary Reforms: Under the Gold Standard, the United States kept the dollar convertible to Gold. The federal Reserve would have had to execute an expansionary monetary policy to fight the deflation and to inject liquidity into the banking system to prevent it from crumbling — but lower interest rates would have led to a gold outflow. Under the Gold standards, price-specific flow mechanism countries that lost Gold, but nevertheless wanted to maintain the Gold standard had to permit their money supply to decrease and the domestic price level to decline (deflation). The dollar was allowed to float freely on foreign exchange markets with no guaranteed price in Gold. Nominal price of Gold was changed from \$20.67 troy ounce to \$35. These measures enabled the Federal Reserve to increase the amount of money in circulation to the level the economy needed.

(e) Securities Act of 1933: To bring regulation of securities and to avoid another Wall Street Crash, the Securities Act of 1933 was enacted. It required the disclosure of the balance sheet, profit and loss statement, the names and compensations of corporate officers about firms whose securities were traded. In 1934, the U.S. Securities and Exchange Commission was established to regulate the stock market and prevent corporate abuses relating to the sale of securities and corporate reporting.

(f) Repeal of Prohibition: In a measure that garnered substantial popular support for his New Deal, Roosevelt moved to put to rest one of the most divisive cultural issues of the 1920s. He signed the bill to legalize the manufacture and sale of alcohol, an interim measure pending the repeal of prohibition for which a constitutional amendment of repeal was already in process.

(g) Relief: Relief was the immediate effort to help the one-third of the population that was hardest hit by the depression. Relief was also aimed at providing temporary help to suffering and unemployed Americans. Local and state budgets were sharply reduced because of falling tax revenue, but New Deal relief programs were used not just to hire the unemployed but also to build needed schools, municipal buildings, water works, sewers, streets, and parks according to local specifications.

(h) Public Works: To prime the pump and cut unemployment, ~~the NRA~~ NIRA created the 'Public Works Administration (PWA), a major program of public works, which organized and provided ~~(PWA), a major program of public works~~ funds for the building of useful works such as Government buildings, airports, Hospitals, schools, roads, bridges and dams.

① Farm and Rural Programs: The rural U.S. was a high priority for Roosevelt and his energetic Secretary of Agriculture, Henry A. ~~Roosevelt~~ Wallace. Roosevelt believed that full economic recovery depended upon the recovery of agriculture and raising farm prices was a major tool, even though it means higher food prices for the poor living in cities.

Recovery: Recovery was the effort in numerous programs to restore the economy to normal health. By most economic indicators, this was achieved by 1937 - except for unemployment, which remained stubbornly high until World War II began. Recovery was designed to help the economy bounce back from depression.

① NRA "BLUE EAGLE" Campaign: From 1929 to 1933, the industrial economy had been suffering from a vicious cycle of deflation. Since 1931 the U.S. Chamber of Commerce, the voice of the nation's organized business, promoted an anti-deflationary scheme that would permit trade associations to cooperate in Government-instigated cartels to stabilize prices within their industries. To mobilize political support for the NRA, Johnson launched the "NRA Blue Eagle" publicity campaign to boost what he called "industrial self-government".

⑪ Housing Sector: The New Deal had an important impact in the housing field. The New Deal sought to stimulate the private home building industry and increase the number of individuals who owned homes. The New Deal implemented two new housing agencies; Home Owners' Loan Corporation (HOLC) and the Federal Housing Administration (FHA).

(iii) Reform: Reform was based on the assumption that the depression was caused by the inherent instability of the market and that Government intervention was necessary to rationalize and stabilize the economy and to balance the interests of farmers, business and labor.

(iv) Trade Liberalization: There is consensus amongst economic historians that protectionist policies, culminating in the Smoot-Hawley Act of 1930, worsened the Depression. The Reciprocal Tariff Act gave the president power to negotiate bilateral reciprocal trade agreements with other countries.

(v) Puerto Rico: A separate set of programs operated in Puerto Rico, headed by the Puerto Rico Reconstruction Administration. It promoted land Reform and helped small farms, it set up farm cooperative, promoted crop diversification and helped local industry.

Second New Deal (1935-1936): The timeframe of second New Deal was 1935-38 and it considered more liberal and more controversial than the "first New Deal" of 1933-34.

(i). Social Security Act: The most important programme of 1935, and perhaps the New Deal as a whole, was the social security Act which established a permanent system of universal retirement pensions, unemployment, insurance, and welfare benefits for the handicapped and needy children in families without a father present.

(ii). Labour Relations: The national labour Relations Act of 1935, also known as the wagner Act, finally guaranteed workers the rights to collective bargaining through unions of their own choice. The Fair labour Standard Act of 1938 set maximum hours (44 per week) and minimum wages for most categories of worker.

(iii). Works Progress Administration: The works Progress Administration (WPA) was created to return the unemployed to the workforce.

(iv). Tax Policy: In 1935, Roosevelt called for a tax program called the Wealth Tax Act to redistribute wealth.

(v). Housing Act of 1937: The United States Housing Act of 1937 created the United States Housing Authority within the U.S. Department of interior.

Three New Deal programs which are still exists:

(i) Social Security Act (SSA), 1935: Provided financial assistance to: elderly, handicapped, unemployment; still exists.
(ii) Abandonment of Gold Standard, 1933: Gold Reserves no longer backed currency; still exists.
(iii) Securities Act of 1933, created the SEC, 1933: codified standards for sale and purchase of stock; still exists.
(iv) National Labour Relations Act (NLRA)/ Wagner Act, 1935. still exists.

Not Exists:

(i) Public works Administration (PWA), 1933; ended in 1938.
(ii) Reconstruction Finance Corporation (RFC): Ended in 1954
(iii) Works Progress Administration (WPA), 1935; ended in 1943.

"3Rs": The New Deal was a series of programs enacted in the United States between 1933 and 1938, and a few that come later. They included both laws passed by congress as well as presidential executive orders during the first term (1933-1937) of President Franklin D. Roosevelt. The programs were in response to the Great Depression, and focused on historians refer to as the "3Rs".

(i) Relief (ii) Recovery and (iii) Reform
Where, (i) Relief stands for: relief for the unemployed and poor.
(II) Recovery stands for: Recovery of the Economy to normal levels.
(III) Reform stands for: Reform of the financial system to prevent a repeat depression.

Relief: The New Deal expanded the role of the federal Government, particularly to help the poor, the unemployed, youth, the elderly and stranded rural communities. Total federal state and local spending on relief rose from 3.9% of GNP in 1929 to 6.4% in 1932 and 9.7% in 1934 — the return of prosperity in 1944 lowered the rate to 4.1%.

Recovery: Members of the Economic History Association were asked to disagree, agree or agree with provisos with the statement; "Taken as a whole, Government policies of the New Deal served to lengthen and deepen the Great Depression." 27% agreed and 51% disagreed and 22% agreed with the provisos.

Reforms: Reform was based on the assumption that depressions was caused by the instability of the market and that Government intervention was necessary to rationalize and stabilize the economy and to balance the interests of farmers, business and labor.

(i) Trade Liberalization: In 1934 the Reciprocal Tariff act was passed which enabled Roosevelt to liberalize American trade policy around the globe.

(ii) Puerto Rico: It promoted land reform and helped small farms; it set up farm cooperatives, promoted crop diversification, and helped local industry.

Thus, New Deal programs enacted by President Roosevelt in the USA between 1933 and 1938 were in response to the Great Depression and focused on what historians refer to as the "3 Rs" — I am agreed with that statement.

(f) Write down the importance of first hundred days of Franklin D. Roosevelt's New Deal Program at United state. (6)

The New Deal was a series of programs, public work projects, financial reforms and regulations enacted in the United States 1933-35, in response to the Great Depression. Civilian Conservation Corps (CCC), the Civil Works Administration (CWA), the Farm Security Administration (FSA), the National Industrial Recovery Act of 1933 (NIRA) and the Social Security Administration (SSA). These programs included support for farmers, the unemployed, youth and the elderly. New Deal programs orders during the first term of the Presidency of Franklin D. Roosevelt and historians refer to as the "3Rs": relief for the unemployed and poor, recovery of the economy and reform of the financial system to prevent a repeat depression.

Importance of first hundred days of Franklin D. Roosevelt's New Deal Program: The American people were generally extremely dissatisfied with the crumbling economy, mass unemployment, declining wages and profits and especially Herbert Hoover's policies such as the Smoot-Hawely Tariff Act, and the Revenue act of 1932. Roosevelt entered office with enormous political capital. Americans of all political persuasions were demanding immediate action and Roosevelt responded with a remarkable series of new programs in the "first hundred days" of the administration, in which he met with Congress for 100 days. At the end of February we were a congeries of disorderly panic-stricken ~~mb~~ mobs and factions. In the hundred days from March to June we became again an organized nation confident of our power to provide for our own security and to control our own destiny.